



Business Agility and Compliance in the Age of AI

Aligning speed, trust, and regulation with SAE

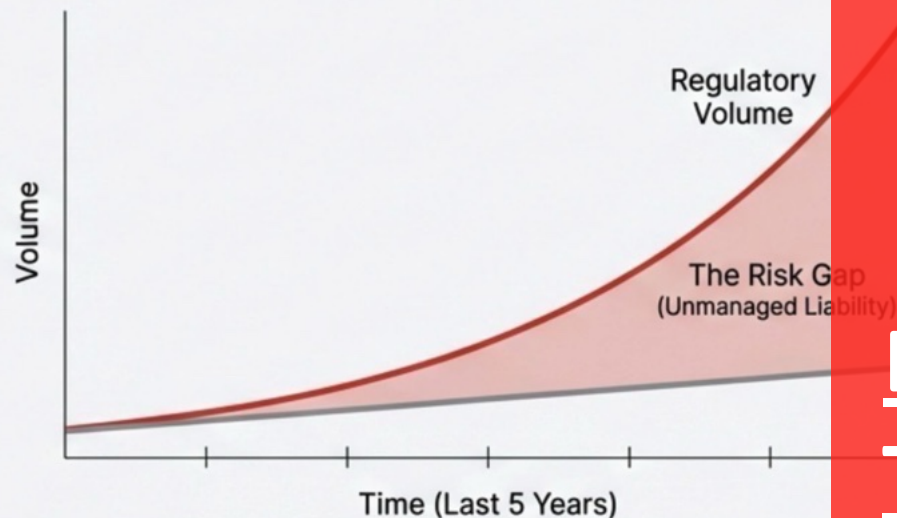
SAFe & AI
SUMMIT
AMSTERDAM, NETHERLANDS



Velocity of regulation in Europe has outpaced human capacity



The Implication: The Risk Gap



Organizations often respond to new regulations with **rules and checklists**, creating exponential overhead that **suppresses innovation** and threatens long-term **competitiveness**.

PER YEAR

13000/5
=2600

PER DAY

2600/365
=7

EVERY

THREE

HOURS



Digital disruption is affecting every industry...

Identified problems we have seen:

- How to secure a digital transformation of an organization
- Increasing complex systems and system of systems
- Growing number of involved teams and its coordination
- Intent vs. fully specified
- Steering of process and endeavors for an organization and worldwide suppliers
- How to cope with different life-cycles
- How to prove compliance for an agile organization
- How to cope with AI and Machine Learning, Cyber Security



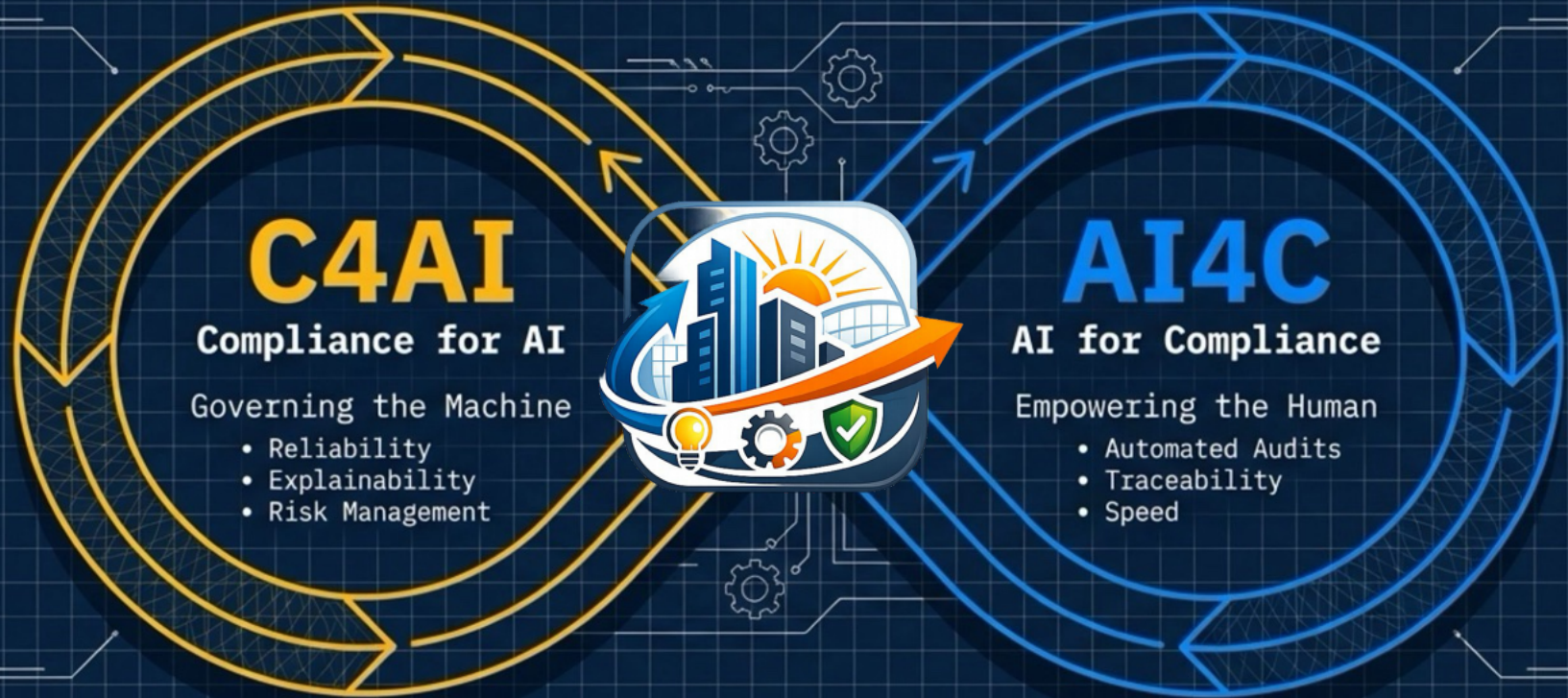
**Culture eats strategy
for breakfast.**

- Peter Drucker



**Compliance eats
Agile
for Lunch**

The Strategic Response: #C4AI4C



Vision: Shifting compliance from a bottleneck to a business enabler.



Peter Pedross

CEO, Advanced SPC, Founder
PEDCO AG



Felix Rüssel

Partner, SAFe SPCT, Lean Compliance
KEGON AG

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1. Digitalization, Age of AI & Regulations

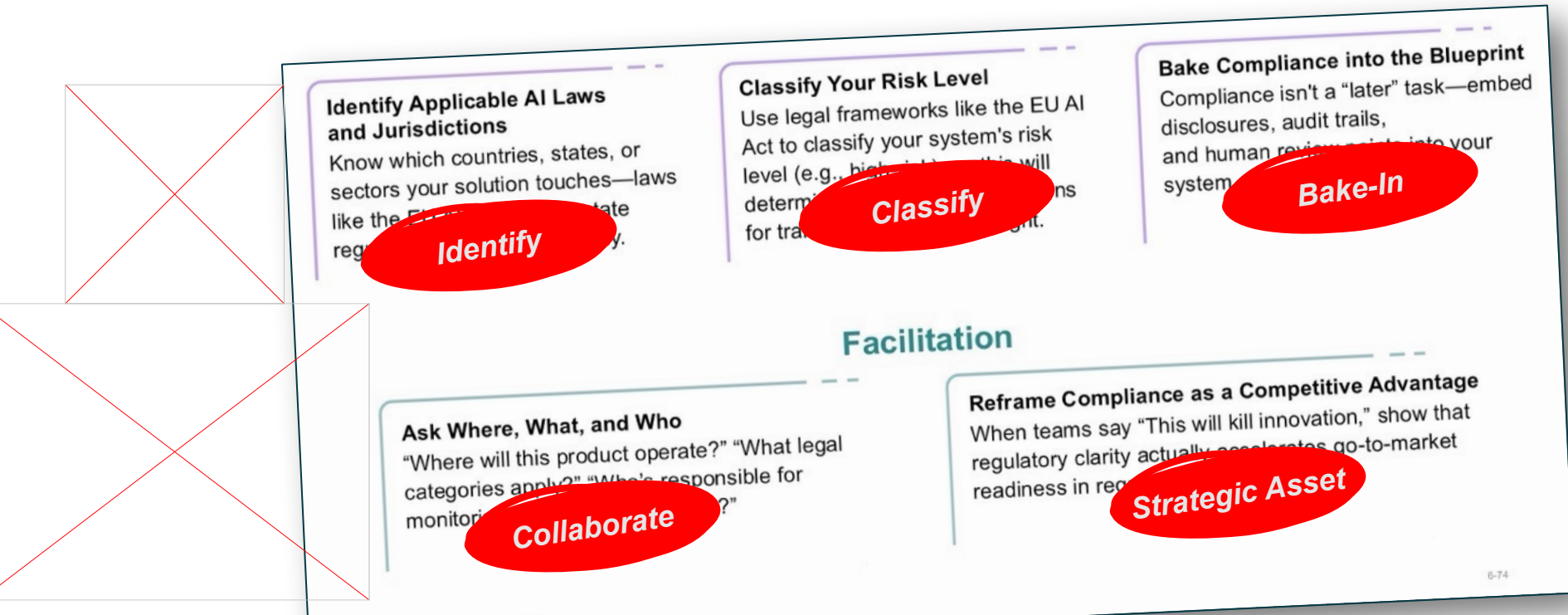
The top of the slide features a series of white, wavy, horizontal lines on a teal background, creating a modern, fluid design.

2. Compliance for AI (C4AI): Reliable AI & Challenges from Regulations

Governing the Machine:

AI Risk & Compliance – baked in, not bolted on

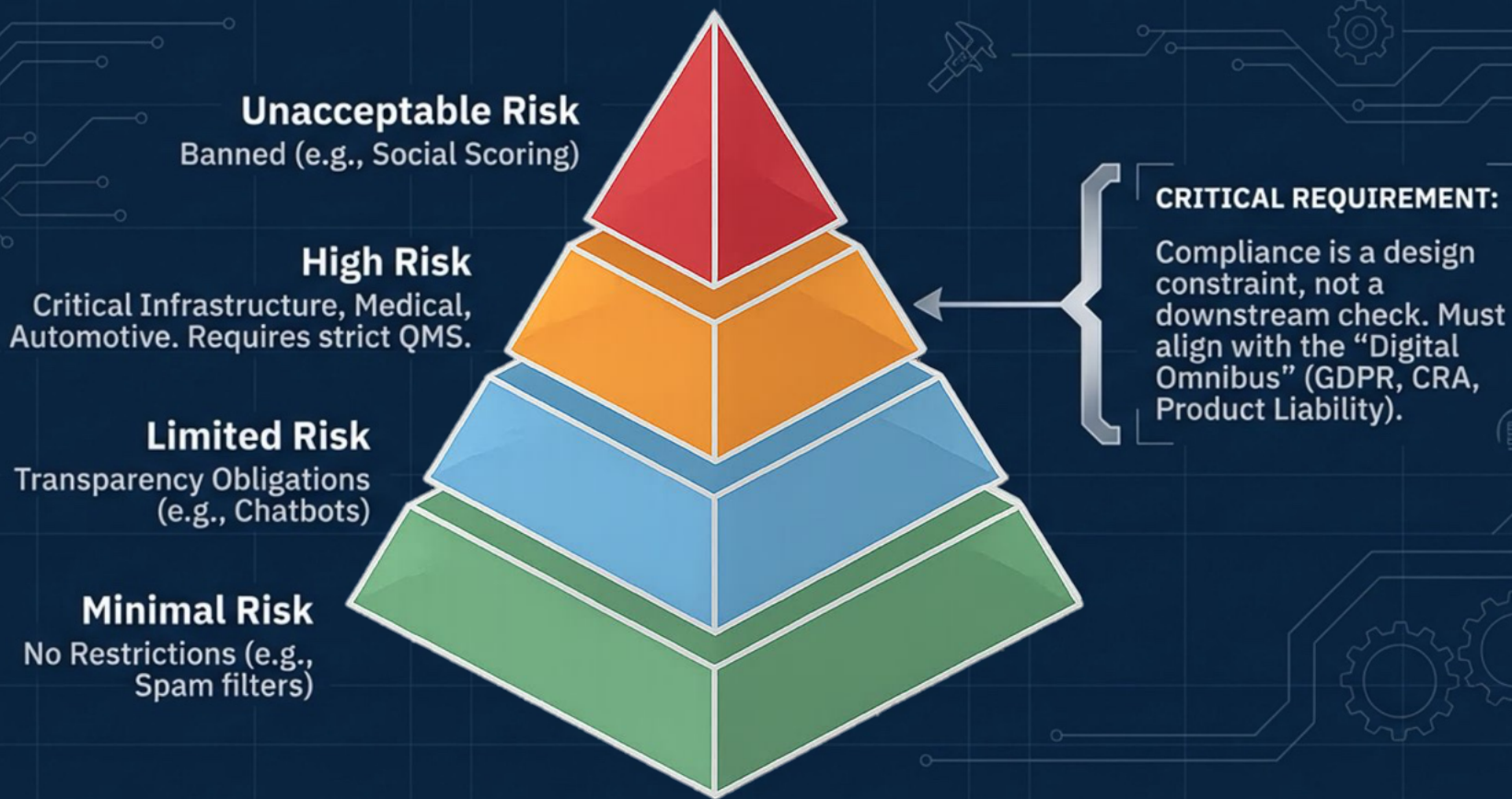
C4AI: GRC as part of the AI-NATIVE Value Blueprint



STRATEGY: Minimal Viable Governance/Compliance (MVG/MVC)

Risk-Value based PDCA: Not all AI Systems requires the same level of control.

The Rules of the Game: EU AI Act ((EU) 2024/1689)



https://www.ceps.eu/ceps-publications/a-dataset-of-international-legal-and-policy-instruments-for-the-digital-world/

Research & Innovation	Industrial Policy	Connectivity	Data Privacy	IPR	Cyber-security	Enforcement	Trust & Safety	E-commerce & Consumer Protection	Competition & Single Market	Media	Finance
Digital Europe Programme Regulation (EU) 2023/694	Recovery and Resilience Facility Regulation (EU) 2021/241	Frequency Bands Directive (EC) 1987/372	ePrivacy Directive (EC) 2002/58	Database Directive (EC) 1996/9	Regulation on Cybersecurity Act (EU) 2019/881	Law Enforcement Directive (EU) 2016/680	Unfair Contract Terms Directive (UCTD) (EC) 1993/13	EC Merger regulation (EC) 2004/139	Satellite and Cable Directive (EEC) 1993/83	Common VAT system (EC) 2006/112, 2022/0407(CNS), 2022/0409(CNS)	
Horizon Europe Regulation (EU) 2021/695, (EU) 2021/764	InvestEU Programme Regulation (EU) 2021/523	Radio Spectrum Decision (EC) 2002/676	European Statistics (EC) 2009/223	Community Design Directive (EC) 2002/6	Regulation to establish a European Cybersecurity Competence Centre (EU) 2021/887	Directive on combating fraud and counterfeiting of non-cash means of payment (EU) 2019/713	European Standardization Regulation (EU) 2012/1025	Price Indication Directive (EC) 1998/6	Technology Transfer Block Exemption (EC) 2014/316	Information Society Directive (EC) 2001/29	Administrative cooperation in the field of taxation (EU) 2011/16
Regulation on a pilot regime distributed ledger technology (EU) 2022/858	Connecting Europe Facility Regulation (EU) 2021/1153	Electromagnetic compatibility Directive (EMC) (EU) 2014/30	GDPR	Enforcement Directive (IPR) (EC) 2004/48	NIS2	Regulation on interoperability between EU information systems in the field of borders and visa (EU) 2019/817	Radio Equipment Directive (RED) (EU) 2014/53	E-commerce Directive (EC) 2000/31	Company Law Directive (EU) 2017/1132	Audio-visual Media Services Directive (AVMSD) (EU) 2010/13	Payment Service Directive 2 (PSD2) (EU) 2015/2366, 2023/0209(COD)
European Innovation Act	Regulation on High Performance Computing Joint Undertaking (EU) 2021/1173	Open Internet Access Regulation (EU) 2015/2120	Regulation to protect personal data processed by EU institutions, bodies, offices and agencies (EU) 2018/1725	Protection of trade secrets (Directive) (EU) 2016/943	Cybersecurity Regulation (EU) 2023/2841	Regulation on terrorist content online (EU) 2021/784	eIDAS Regulation (European Digital Identity Framework) (EU) 2014/910	Unfair Commercial Practices Directive (UCPD) (EC) 2005/29	Screening of foreign direct investments Regulation (EU) 2019/452	Portability Regulation (EU) 2017/1128	DO RA
European Research Area Act	Regulation on Joint Undertakings under Horizon Europe (EU) 2021/2085	European Electronic Communications Code Directive (EECC) (EU) 2018/1972	Free flow of non-personal data (Regulation) (EU) 2018/1807	Design Directive (EU) 2024/2823	CRA	Temporary CSAM Regulation (EU) 2023/1232, 2022/0155(COD)	Regulation for a Single Digital Gateway (EU) 2018/1724	Directive on Consumer Rights (CRD) (EU) 2013/783	Market Surveillance Regulation (EU) 2019/1020	Satellite and Cable II Directive (EU) 2019/779	Crypto-assets Regulation (MICA) (EU) 2023/1114
	Decision on a path to the Digital Decade (COM) 2022/2481	4th top-level domain Regulation (EU) 2019/117	Open Data Directive (PSD) (EU) 2019/1024	Compulsory licensing of patents (EU) 2023/0129(COD)	Cyber Solidarity Act (Regulation) (EU) 2025/748	E-evidence Regulation (EU) 2023/1543	General Product Safety Regulation (EU) 2023/998	e-Invoicing Directive (EU) 2014/535	P2B Regulation (EU) 2019/1150	Copyright Directive (EU) 2019/790	Anti-money laundering Regulation (AMLA) (EU) 2024/1624
	Regulation on the Digital Services Act (Regulation) (EU) 2023/1781	Regulation on the Digital Services Act (Regulation) (EU) 2023/612	Regulation on the Digital Services Act (Regulation) (EU) 2023/868	Regulation on the Digital Services Act (Regulation) (EU) 2023/868	Regulation on the Digital Services Act (Regulation) (EU) 2023/0084(COD)	Regulation on the Digital Services Act (Regulation) (EU) 2023/2844	Regulation on the Digital Services Act (Regulation) (EU) 2023/10	Cooperation Regulation (EU) 2017/2394	Single Market Programme (EU) 2021/696	Responsible AI Act (EU) 2024/1083	Regulation 2023/0205(COD)
	Establishing the Strategic Platform (STEP) (EU) 2024/795	Union Secure Connectivity Programme (EU) 2023/588	Data Act (Regulation) (EU) 2023/2854			Directive on combating violence against women (EU) 2024/1385		Geo-Blocking Regulation (EU) 2018/302	Vertical Block Exemption Regulation (VBEX) (EU) 2022/720		Payment Services Regulation 2023/0210(COD)
	European Critical Raw Materials Act (Regulation) (EU) 2024/1252	Gigabit Infrastructure Act (EU) 2024/1309	Interoperable Europe Act (EU) 2024/903			Directive for combating sexual abuse and child sexual abuse material 2024/0035(COD)	Eco-design regulation (EU) 2024/1781	Digital content Directive (EU) 2019/770	Digital Market Act (DMA Regulation) (EU) 2022/1925		Digital Euro 2023/0212(COD)
	Net Zero Industry Act (EU) 2024/1735	Digital Networks Act	Regulation on data collection for short-term rental (EU) 2024/1028			EU Digital Travel application, 2024/0670(COD)		Digital Contracts for Goods Directive (EU) 2019/771	Regulation on distortive foreign subsidies (EU) 2022/2560		Regulation on combating late payment 2023/0323(COD)
	EU Space Act	EU Cloud and AI Development Act	European Health Data Space (Regulation) (EU) 2025/327					Digital Services Act (DSA Regulation) (EU) 2022/2065	Horizontal Block Exemption Regulations (HBER) (EU) 2023/1066, (EU) 2023/1067		
	Quantum Act		Harmonization of GDPR enforcement procedures 2023/0202(COD)					Political Advertising Regulation (EU) 2024/900	Internal Market Emergency and Resilience Act (EU) 2024/0727		
	European Biotech Act		GreenData4all					Right to repair Directive (EU) 2024/1799	Platform Work Directive (EU) 2024/2831		
	Advanced Materials Act		European Data Union Strategy					Digital Fairness Act	28th regime		
									Revision of directives on Public Procurement		

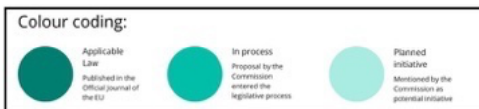
Colour coding:

Applicable Law
Published in the Official Journal of the EU

In process
Proposed by the Commission
Entered the legislative process

Planned Initiative
Mentioned by the Commission as
potential initiative

U DIGITAL LAWS/POLICIES (“hard law” - what)



EU DIGITAL LAWS/POLICIES ("hard law" - what)

Scaled Agility in Regulated Environments

STANDARD ("SOFT LAW") SPECIFIC HOW TO WORK IN REGULATED ENVIRONMENTS



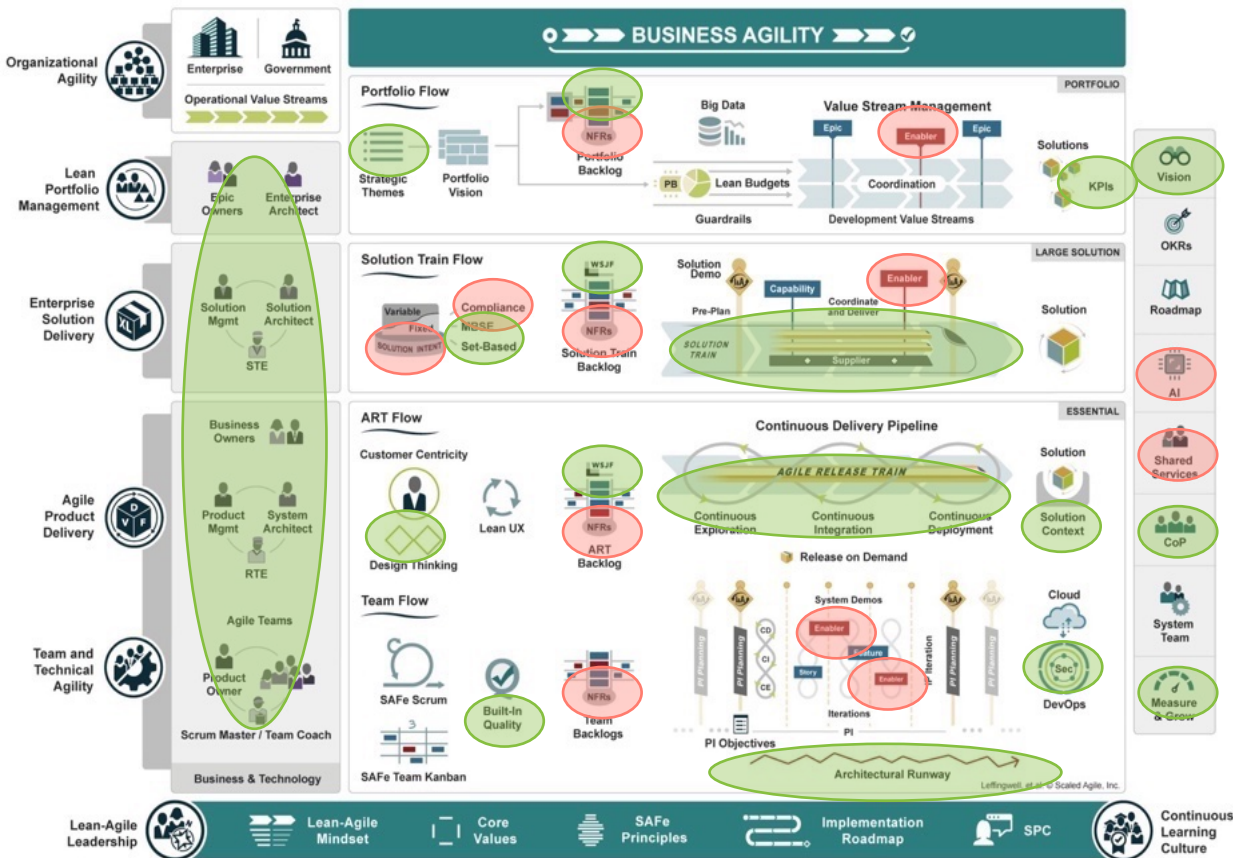
- **Quality:**
Have a managed process & established QMS / IMS
- **Safety and Security:**
Transparency in Execution & Continuous Compliance
- **Effectiveness:**
Manage Process & Solution variations, reduce waste and do exactly what is needed
- **Traceability:**
Ensure process & product compliance
- **Verification and Validation:**
Engineering based on Principles & Practices
- **Agile Contracting**
Collaboration is established with agile contracts

3. SAFe as Operating Model in the age of AI

Organizations do not fail because of regulations.

They fail because their operating model cannot absorb it.

SAFe as an operating system for Compliance Flow



Addressing Compliance constraints:

Compliance (explicit)
 Enabler (specific work)
 NFRs (basic checks)
 Policies (DoR/DoD)
 Solution Intent (Requirements)
 Shared Services (experts)

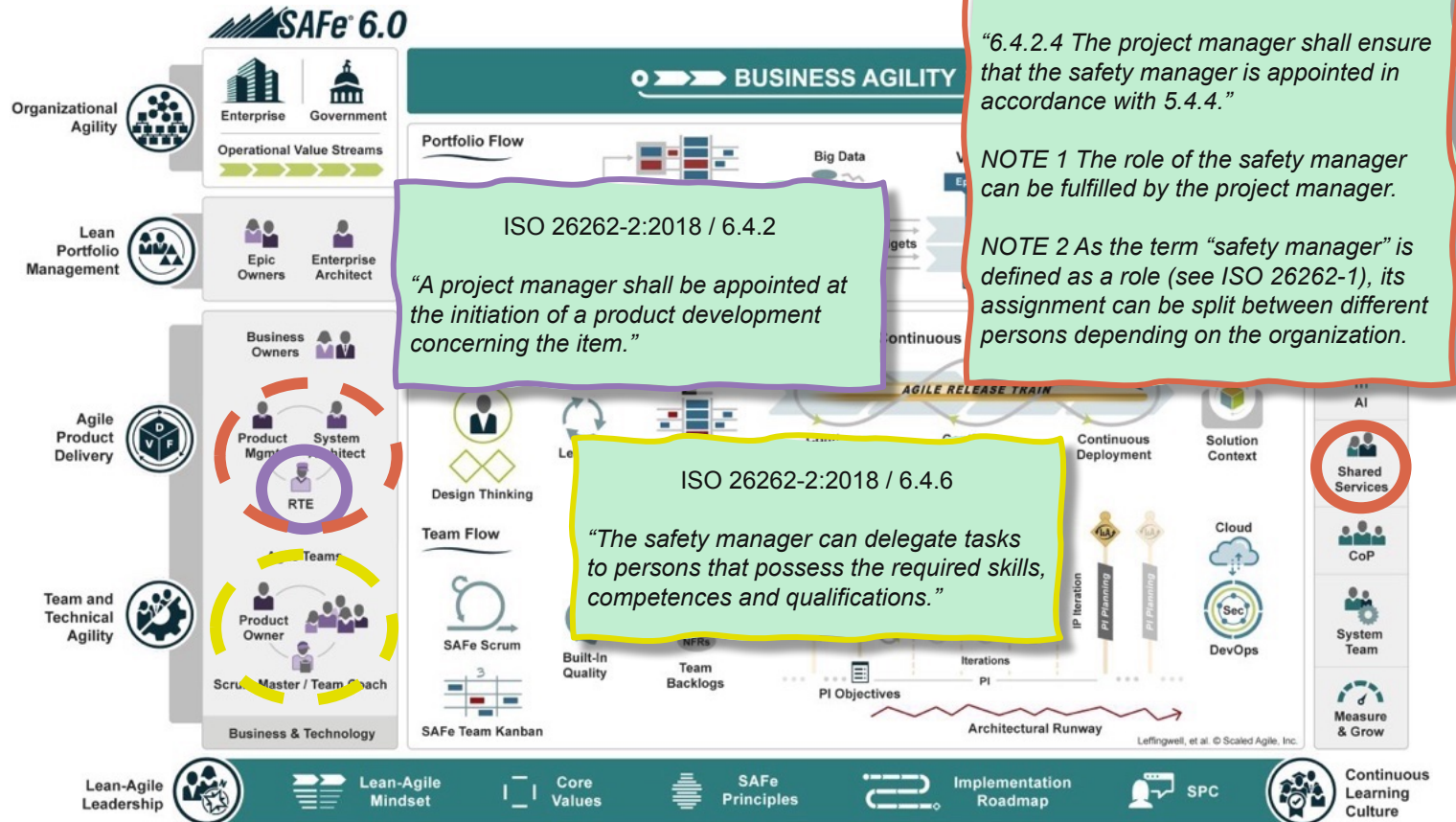
RULE-BASED

Making Compliance Operable:

Strategic Themes ref. compliance
 Design Thinking (risk & value)
 CoP (Enabling)
 Supplier / Supply Chain
 Extended role responsibility
 WSJF (value of compliance)
 Solution Context (guardrails)
 Vision (value of compliance)
 Build-in Quality (practices)
 Set-based & MBSE (digital twin)
 DevSecOps incl. compliance
 CE-CI-CD-RoD with AI
 AI & Architecture Runway
 Full Value Stream (suppliers) integration
 KPIs & Measure & Grow

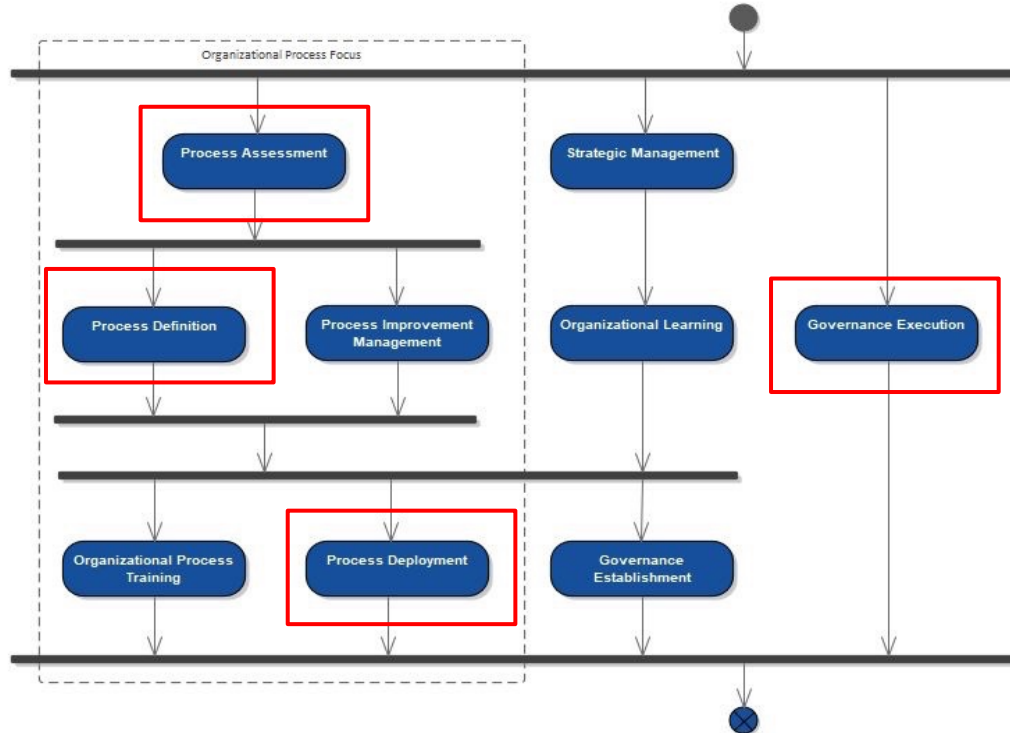
FLOW ENABLER

Map SAFe Roles to Safety Roles

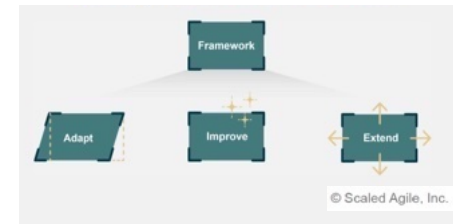


Mature Agile Organizations – Customizing SAFe

ENTERPRISE PROCESSES TO ESTABLISH AND GOVERN THE CUSTOMIZATION AND TRANSFORMATION



- Pilot, train and verify process improvements and process customization changes.
- Learn as a system
- Share available knowledge.
- Use defined metrics.
- Work with proven best practices.
- Ensure that knowledge doesn't get lost.
- Inspire people to question the status quo.
- Ensure feedback cycles and structured improvement
- Inspect & adapt governance on a regular basis





4. AI for Compliance (AI4C)

Empowering the Human:

AI in Compliance work - Case Study with PEDCO AuditPro

QMS: Typical Problems – Reasoning for AI

TIME NEEDED TO FIND AN ANSWER IS PERCEIVED AS WAY TOO LONG!

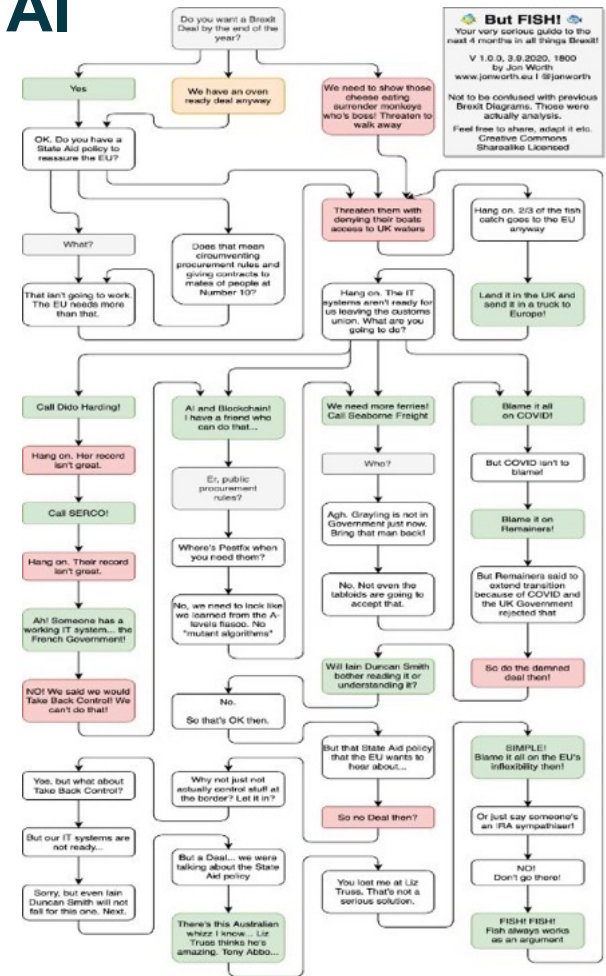
Intended users are struggling with using a QMS:

- Users are under time pressure.
- Users get lost in the QMS, lack routine.
- Users lack patience for model navigation
- Process coaches don't know the QMS either.
- Managers are under time pressure.
- Information is not beautifully described (no pleasure to read)
- Need to know where to find answers and how to navigate there.
- Process not known, so users don't know what to ask.
- **Power-users love their QMS** (QM, Process-Engineers, etc.)

How to overcome such situations in private?

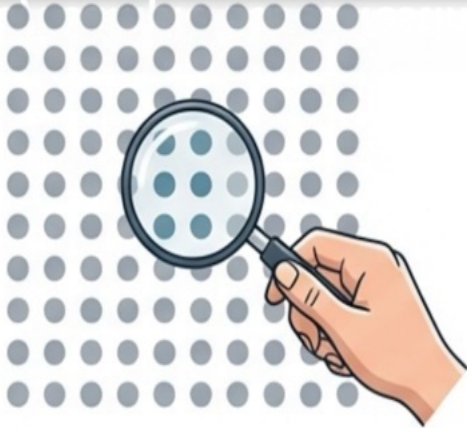
- Ask private friends ("Experts")
- Check out YouTube instead of instructions.
- Google problems and look for a good hit
- Ask Chat GPT

THE TIME REQUIRED TO ADJUST AND ROLL OUT A PROCESS IS FAR TOO LONG!



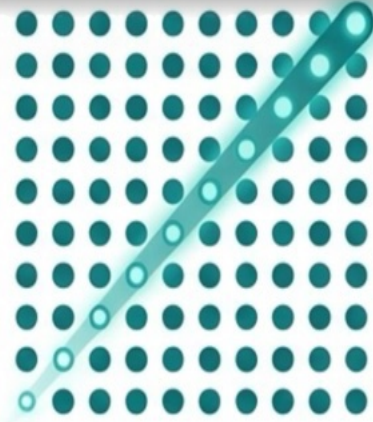
“Sample-Based Testing” □ “Total Value Stream Monitoring”

Legacy: Sample-Based Testing



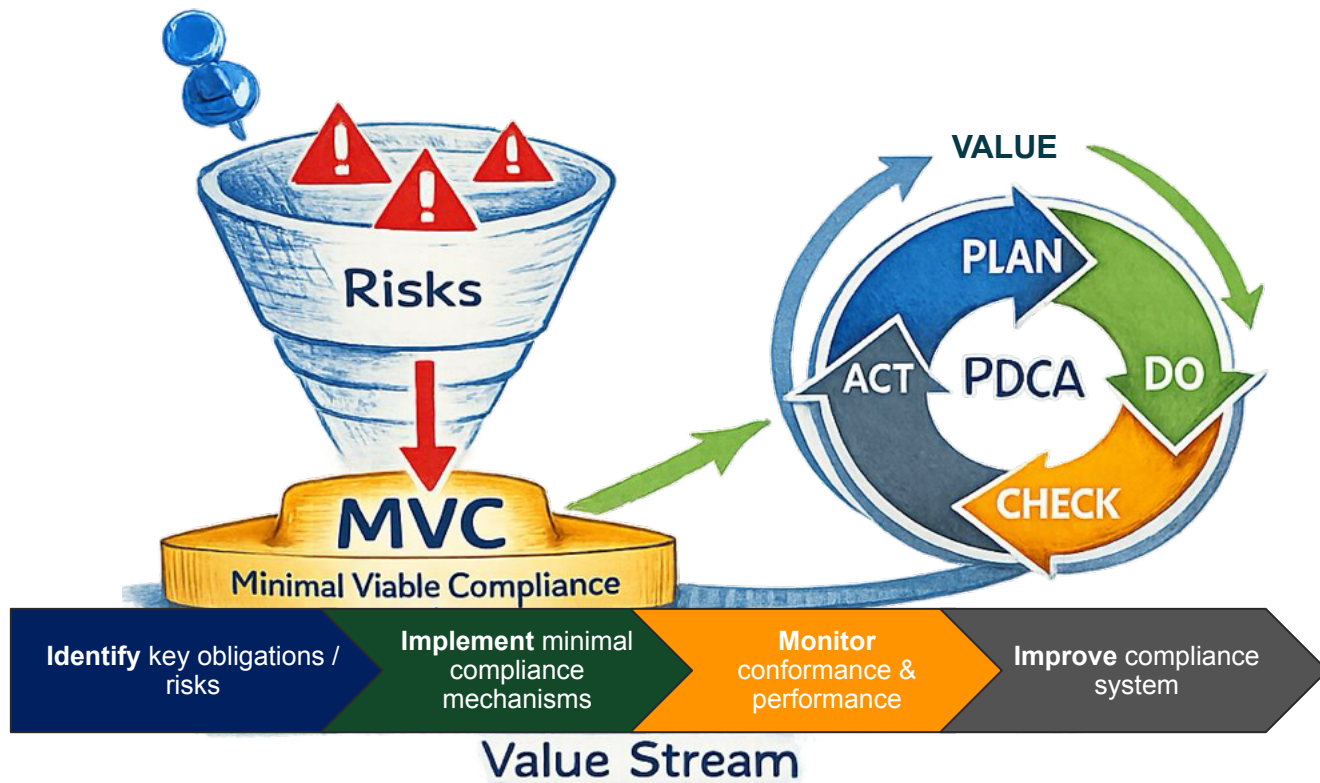
Manual / High Risk (5% Visibility)

Future: Total Value Stream Monitoring



Automated / Low Risk (100% Visibility)

AI as Enabler: Continuous monitoring of the whole Value Stream



**COMPLIANCE IS OPERABLE
WHEN IT CREATES VALUE.**